Lecture no 5:-
Topic name:- Introdu-
-ction To economics.
Weak no 5
class no 5
Date :- 6-04-[illegible]
Day :- Monday
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What is economic systems in detail and its types?

An economic system is the method society uses to organize, produce and distribute goods and services to meet people's needs.

Types of Economic Systems:-

1. Capitalism:-

Capitalism is an economic system in which resources are owned by individuals or private bussiness, and decisions are made through the market (demand and supply).

→ Private ownership of resources
→ Market-driven (supply and demand)
→ Profit motivate

Example

USA

2. Socialism:

Socialism is an economic system where the government controls important industries while some private ownership still exists, aiming to reduce inequality.

→ Mix of private and public ownership

→ Government regulates key sectors.

→ Focus on equality.

Example:

Sweden

3. Communism:-

Communism is an economic system where all resources are owned by the government, and goods are distributed equally among people.

→ No private Ownership.

→ Government controls resources

→ Aim for equal distribution

Example.

North korea (theoretically)

4. Mixed economy:

A mixed economy is a system that combines features of both capitalism and government control

→ Blend of capitalism and government intervation.

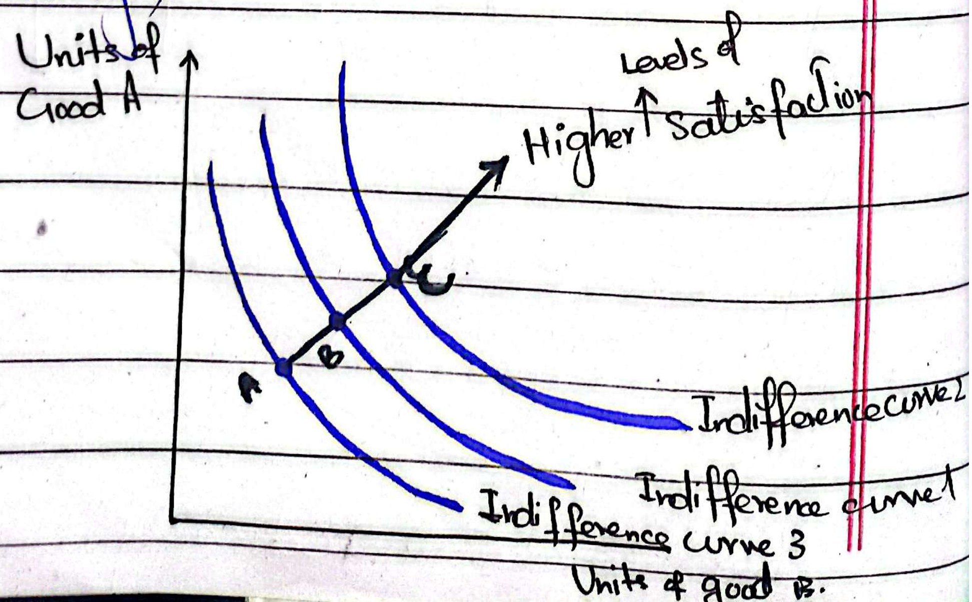
Examples:

Pakistan, India

Indifference Curve definition Graph and properties.

Indifference Curve:

An indifference curve is a graph that shows all the combinations of two goods that give a consumer the same level of satisfiction (Utility)



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Graph explanation:

→ Curve is a downwording slope.

- If you consume more pizza, you will have to consume less burgers.

→ Curve Convex is bowend inword.

- People preffered balanced Combination more

→ It includes Multiple curves.
U1, U2, U3

- Thor curve that is farther from the origin represents a higher level of satisfaction.

Properties of indifference Curves

1. Downward Slopping.
An indifference curve slope downwar-d from left to right because if a consumer wants to increase consumption of one good, they must give up some quantity of the other good to maintain the same level of satisfaction.

2. Convex to origin:
Indifference curve are convex to

the origin because of the dimishing marginal rate of substitution (MRS). This means that sa as a consumer consumes more of one good, they are willing to give up less and less of the other good.

3: Non-Intersecting:
Two indifference curves can never intersect each other because each curve represents a different level of satisfaction. If they intersected it would create a contradiction in consumer. prefrences.

4. Higher Curves:
More satisfiction indifference curves that are farther from the origin represent a higher level of satisfaction, because they show combinations with more quantities of both goods.